Complex Formulae Designed to Ensure All Surplus Remains with RBI

The formula recommended by the Jalan Committee and accepted by RBI results in required provision for market risk of about 17 per cent of the assets—17 per cent of the RBI Balance Sheet amounted to about Rs 9 lakh crore of provision required at the end of financial year 2019–20. That's a massive provision for non-existent risk!

Before the RBI Act was amended in 1955, it permitted the central bank to make provisions for 'such other contingencies …'. This was deleted and the Act since provides that RBI can make provisions that bankers normally make. Central banks are not expected to make any provision for possible erosion in the value of reserve assets.

However, in a desire to hold these provisions, RBI has leaned on different formulae over the years. In 2016, the RBI Board decided to measure market risk by adopting a super complex formula built around three elements.

The first element is the measure of Value at Risk (VaR). The traditional model of determining VaR is to treat it equal to the maximum asset value, which had historically suffered loss. A variation of this is Stressed Value at Risk (S-VaR), which measures the value at risk under select 'stressed conditions', which are mostly defined subjectively. Another variant is called the Estimated Loss (EL) method, which takes into account all possible defaults. In other words, it also takes into account the remaining amount of assets (tail risk) after taking into account stressed value at risk. The first element is the value at risk.

The second element is the confidence level you choose at which events that put value at risk might occur. This is the probability element.

The third element is the interval adopted at which the loss might take place.